Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Rate Design Panel

Case 19-G-0309
Case 19-G-0310

September 18, 2019

Rebuttal Testimony of the Rate Design Panel

TABLE OF CONTENTS

I. Introduction 1

II. Revenue Forecast 3

III. ECOS Studies 7

IV. Revenue Allocation 11

V. Rate Design 19

VI. Bill Impacts 25

VII. Merchant Function Charge 26

VIII. Non-Firm SCs 27

IX. Gas Rates for Electric Generation 35

X. LAUF Gas 35

XI. RDM 39

XII. Miscellaneous Rate Design Issues 40

A. Gas Tariff Provisions 40
B. NGV 42
C. Paperless Billing Credit 43
D. EAM 44
E. SBC 45
F. DRA 48
G. Green Gas Tariff 49

I. Introduction

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel consists of Kellie I. Smith, Dawn M. Herrity, and Howard S. Gorman and is testifying on behalf of KEDNY and KEDLI. This is the same Panel that submitted direct and corrections and updates testimony in these proceedings. The terms defined in the Panel's direct testimony have the same definitions here.

Q. What is the purpose of your rebuttal testimony?

A. The Panel's rebuttal testimony addresses and/or rebuts issues raised with respect to either KEDNY or KEDLI, or both Companies, by Staff and other intervenors in their respective testimonies filed in these proceedings on August 30, 2019.

Q. Is the Panel offering any exhibits?

A. Yes. The Panel has prepared the following exhibits that were prepared by or under the supervision and direction of one or all members of the Panel:

- Exhibit ___ (RDP-2AR) – KEDNY Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-2BR) – KEDLI Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-3AR) – KEDNY ECOSS
- Exhibit ___ (RDP-3BR) – KEDLI ECOSS

- Exhibit ___ (RDP-4AR) – KEDNY Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-4BR) – KEDLI Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-5AR) – KEDNY LAUF Study
- Exhibit ___ (RDP-5BR) – KEDLI LAUF Study
- Exhibit ___ (RDP-6AR) – KEDNY Proposed MFC
- Exhibit ___ (RDP-6BR) – KEDLI Proposed MFC
- Exhibit ___ (RDP-7AR) – KEDNY Proposed RDM
- Exhibit ___ (RDP-7BR) – KEDLI Proposed RDM
- Exhibit ___ (RDP-8AR) – KEDNY Consolidated Billing Charge
- Exhibit ___ (RDP-8BR) – KEDLI Consolidated Billing Charge
- Exhibit ___ (RDP-16AR) – KEDNY Supporting Workpapers
- Exhibit ___ (RDP-16BR) – KEDLI Supporting Workpapers
- Exhibit ___ (RDP-17AR) – KEDNY Pro-forma Statements
- Exhibit ___ (RDP-17BR) – KEDLI Pro-forma Statements
- Exhibit ___ (RDP-18R) – Relevant Portions of Company IR Responses
- Exhibit ___ (RDP-19R) – Staff IR Responses
- Exhibit ___ (RDP-20R) – Companies' Reply Comments to CNY's Comments in Cases 16-G-0058 and 16-G-0059

Q. How is the rebuttal testimony organized?

A. To the extent possible, the testimony proceeds by topic, rather than by party, to keep the positions of the parties on each issue together.

II. Revenue Forecast

Q. Did the Panel update the Companies' forecast Rate Year revenue?

A. Consistent with Department of Public Service Staff's ("Staff") position, the Companies updated KEDNY and KEDLI's respective Rate Year revenue forecasts assuming that the NESE project will not be available during the Rate Year. Accordingly, Exhibits __ (RDP-2AR) and (RDP-2BR) provide the updated Rate Year revenue forecasts for KEDNY and KEDLI, respectively, using the sales forecast submitted in the Companies' response to IR DPS-798, which updates the Companies' sales forecast submitted in the corrections and updates filing to reflect a no-NESE scenario. In addition, the Companies updated the LPC Revenue and Billing fees to reflect the sales forecast provided in IR DPS-798 and updated the gas commodity revenue forecast based on the NYMEX forward gas prices as of August 28, 2019.

Q. Did the Staff Rates Panel ("SRP") use the Companies' price out model to calculate the forecast Rate Year revenue?

A. No. The SRP used their own model to calculate the forecast Rate Year revenue. The SRP 's model prices out Rate Year revenue at the service class level. In addition, the SRP used a different methodology to normalize the historic data used in the ogive analysis.

Q. Do the Companies agree with the SRP's revenue price out?

A. No. The Companies reviewed the exhibits provided in support of the revenue forecast calculations included in the SRP's testimony and noted a few discrepancies. The SRP's revenue forecasts for both KEDNY and KEDLI were based on the Companies' corrections and updates sales forecasts instead of the sales forecasts provided in response to IR DPS-798, which included the corrections and updates forecasts adjusted to assume the NESE project is not available. In addition, the Companies noted that the SC-4, SC-7, SC-12, and SC-13 revenues were not included on Exhibit ___ (SRP-3) and were not included in the revenue at present rates used by the Staff Revenue Requirement Panel to calculate the incremental revenue requirement. The SRP corrected these issues and provided revised revenue forecasts and revenue allocation exhibits in response to IR NG-02 as shown in Exhibit ___ (RDP-19R).

Q. Do the Companies agree with the revised revenue provided by the SRP in response to IR NG-2?

A. No. The Companies' revenue forecasts using the sales and customer forecasts provided in IR DPS-798 do not match the revenue forecasts provided by the SRP in response to IR NG-2. Because the Companies and the SRP are using different models to forecast revenue, it is difficult to determine the differences between the two calculations. As explained above, the Companies' models are more detailed, and the historic data normalization methodology was different. The Companies support the revenue forecast methodology included in Exhibit ___ (RDP-2AR) and Exhibit ___ (RDP-2BR).

Q. Do the Companies agree with pricing out the forecast of Rate Year revenue at the service class level?

A. No. The Companies' revenue and ogive models are designed to price out revenue at the rate code level, which is then rolled up to the service class level. The Companies believe pricing out revenue by rate code is a more accurate way to develop the ogive analysis and resulting revenue price out because the rate codes that make up a service class could have different usage by delivery block resulting in slightly different total revenue by service class.

Q. What is the SRP's recommendation regarding the Companies' ogive calculations?

A. The SRP expressed concern over the raw billing data used for the ogive analysis (at 15). Specifically, the SRP noted that the normalization of the raw billing data does not accurately account for canceled bills and rebills and recommended (at 17) that the Companies revise the ogive calculations to account for canceled bills and rebills. The SRP asserted that the Companies could achieve a more appropriate normalization of the data by ensuring that the allocation to each block step is not above the maximum possible or below the minimum possible allocation.

Q. Do the Companies accept the SRP's recommendation concerning the normalization of data used in the ogive calculation?

A. The Companies agree to revise the normalization methodology but propose a different methodology from the one that the SRP proposes. The Companies agree that only removing the negative values in the upper usage levels could have an impact on the ogive calculation, although relatively immaterial. Therefore, the ogive calculations used to the develop the forecast revenue in Exhibit ___ (RDP-2AR) and Exhibit ___ (RDP-2BR) were revised to include any negative values so that in effect, the Companies are including the full

impact of any cancels or rebills instead of potentially skewing the data by only removing large negative volumes.

III. ECOS Studies

Q. Has the Panel updated the ECOS studies since the Companies' corrections and updates filing?

A. Yes. Consistent with Staff's position that assumes the NESE project will not be available during the Rate Year, the Companies have updated the ECOS studies submitted in the corrections and updates filing to reflect this assumption. The updated ECOS studies also reflect the updated revenue requirements as presented in the respective rebuttal testimonies of KEDNY and KEDLI's Revenue Requirements Panels. The updated ECOS studies for KEDNY and KEDLI can be found on Exhibits ___ (RDP-3AR) and (RDP-3BR), respectively.

Q. Did Staff or any of the intervenors comment on the ECOS studies?

A. Yes. The ECOS studies were discussed in the testimonies of the SRP, Danielle Panko on behalf of the New York State Department of State Utility Intervention Unit ("UIU"), and the New York City Rate Design Panel ("NYCRDP").

Q. Please summarize the NYCRDP's comments on the Companies' ECOS studies.

A. The NYCRDP recommended (at 3) that the Commission accept the Companies' ECOS studies because they are reasonable and consistent with past practice, and they allocate costs on the basis of cost causation. The NYCRDP also recommended that the Companies' ECOS studies be accepted as the primary guide for revenue allocation. It also agreed (at 9) with the classification of distribution mains as both demand-related and customer-related, as presented in the Companies' ECOS studies.

Q. What is the SRP's recommendation regarding the ECOS studies?

A. The SRP recommends (at 27) using the historic ECOS studies provided in response to IR DPS-504, instead of the Companies' pro-forma ECOS studies (using Rate Year information). The SRP believes that using forward-looking Rate Year information can introduce additional errors.

Q. Does the Panel agree?

A. No. The Panel believes that the ECOS studies should be prepared using the costs, rate base, and physical units that are projected for the Rate Year, and for which the revenue requirement, revenue allocation, and rate design will be set. While the actual conditions in the Rate Year will be somewhat different from

these projections, the same is also true of historic year data – the actual conditions in the Rate Year will be different. In particular, historic allocator values may not reflect normal weather, and historic costs may be different in amount and type from the costs the Companies will experience and the amounts they will recover in rates.

The SRP acknowledges that when "very large changes in utility operations are projected," forward-looking Rate Year data can be used. The Panel notes that the filing of a major rate case means that significant changes are projected, and it is important that the ECOSS reflect, as closely as can be estimated, the conditions that will occur in the Rate Year and the amounts to be recovered in rates.

The Panel further notes that the ECOSS is easily rerun to reflect the Commission-approved final revenue requirement, thereby reflecting the actual amounts to be recovered in rates. The final revenue allocation and rate design cannot be done until the final revenue requirement is known, and rerunning the ECOSS does not delay this process.

Finally, an important goal of revenue allocation is to move classes closer to the system average rate of return. It is not possible to measure whether a

proposed revenue allocation achieves this goal (*i.e.*, progress towards unity) unless an ECOSS has been prepared based on Rate Year information.

Q. What does the Panel recommend regarding the SRP's proposal to use historic data in preparing the ECOS studies?

A. The Panel recommends the Commission reject the SRP's recommendation (at 30) to use the historic year ECOS studies for revenue allocation. The Panel recommends that the Commission accept the Companies' ECOS studies presented in Exhibits ___ (RDP-3AR) and (RDP-3BR), which use projected Rate Year data. The Companies will update their ECOS studies based on the final revenue requirement approved by the Commission.

Q. Does the Panel agree with UIU's recommendation (at 29) that the Companies be required to file ECOS studies that classify a portion of distribution main costs as customer-related, as well as additional ECOS studies in which mains are classified as 100 percent demand-related?

A. The Panel does not object to submitting additional ECOS studies (those studies were submitted in this case as Exhibit ___ (RDP-12). The Panel understands that the classification of mains can be a contentious issue. However, the Panel believes that classifying mains as 100 percent demand–related does not reflect cost causation, and an ECOSS prepared on that basis

should be given no weight by the Commission in evaluating revenue allocation proposals.

IV. Revenue Allocation

Q. Please explain the Companies' revenue allocation process.

A. The Companies' revenue allocation proposals move the returns produced by each service class closer to unity (the system average rate of return) while mitigating extreme impacts, a concept known as gradualism. For both Companies, a tolerance band of 25 percent was used to determine which service classifications had a rate of return at present rates close to the overall rate of return at present rates. Classes with returns at present rates above the tolerance band were given smaller percentage increases than the average increase, and classes with returns below the tolerance were given larger increases. Some adjustments were made for outlier classes and to promote certain goals (*i.e.*, supporting interruptibility).

Q. Do the revenue allocation proposals presented in Exhibits ___ (RDP-4AR) and (RDP-4BR) follow the same approach as the Companies' proposed revenue allocation presented in the Panel's direct and

corrections and updates testimonies?

A. Yes. As shown on Exhibits ___ (RDP-4AR) and (RDP-4BR), the percentage increases for classes within, over, and under the tolerance band were adjusted by a uniform percentage from the Companies' initial April 30, 2019 filings to produce the updated revenue requirement. The one exception in Exhibit __ (RDP-4BR) is that KEDLI's non-firm service classification (which was producing a return far above the average) was given no increase.

For KEDNY, SC 1B was within the tolerance band and given a revenue target increase of 12.85 percent over pro-forma revenue at present rates. SC 2-1, SC 4A-HLF, SC 4A-CNG, and SC 4B were above the tolerance band and given increases of 3.23 percent over pro-forma revenue at present rates. SC 1A, SC 1B-DG, SC 2-2, SC 3, SC 7, and SC 21 were below the tolerance band and assigned increases of 18.21 percent over pro-forma revenue at present rates. SC 22 and SC 18-22 (new combined non-firm demand response service classifications) were given decreases of 2.5 percent. *See* Exhibit ___ (RDP-4AR), Schedule 1.

For KEDLI, SC 2B and SC 3B were within the tolerance band and at or above the average return at present rates and were given revenue target increases of 6.69 percent over pro-forma revenue at present rates. SC 1B was within the

tolerance band and below the average return, was given an increase of 7.01 percent. SC 2A, SC 3A, SC 15 and SC 16 were above the tolerance band and given increases of 4.32 percent. SC 19 (formerly SC 4, SC 7, SC 12 and SC 13) and SC 9-NGV were significantly above the tolerance band; SC 19 was assigned no increase and SC 9 was assigned a decrease of 36 percent below pro-forma revenue at present rates. SC 1A and SC 1DG were below the tolerance band and assigned increases of 13.70 percent. *See* Exhibit ___ (RDP-4BR, Schedule 1).

Q. Did Staff or any of the intervenors comment on the Companies' proposed revenue allocation?

A. Yes. Revenue allocation was discussed in the testimonies of the SRP, UIU, and NYCRDP.

Q. Please summarize the SRP's comments regarding revenue allocation.

A. While the Companies used the Rate Year ECOS studies as guides in revenue allocation, the SRP recommends (at 30) using the historic ECOS studies provided in response to IR DPS-504. The SRP also made adjustments to revenue at present rates to reflect the roll-in of ETIP and the Tax Reform Surcredit.

The SRP agrees (at 30) with the Companies that classes within the 25 percent tolerance band should receive increases at or close to the average increase. However, the SRP proposed that classes with historic returns above the tolerance band receive increases 20 percent lower than the average, and classes with returns below the tolerance band receive increase 20 percent greater than the average.

Q. Do the Companies agree with SRP's recommendations on revenue allocation?

A. As discussed in more detail below, the Companies generally disagree with the SRP's recommendations because the SRP's revenue allocation, which relies on historic year ECOS studies, produces results that depart significantly from cost-based ratemaking.

Q. Please comment on the SRP's recommendation to use the historic ECOS studies as a guide in revenue allocation.

A. As discussed above, the Panel recommends the Commission reject the SRP's use of a historic ECOSS because it does not reflect the amounts to be recovered in rates and does not allow parties to measure whether a proposed revenue allocation moves classes closer to the system average rate of return.

Q. Are the SRP's adjustments to ETIP and the Tax Reform Surcredit necessary if a pro-forma (Rate Year) ECOSS is used as the Companies have done?

A. No. Those adjustments are not needed because Rate Year revenue at present rates already reflects the roll-in of those amounts; the roll-in itself is supported by the SRP. Exhibits ___ (RDP-4AR) and (RDP-4BR), Schedule 1 demonstrates that the Companies' revenue allocation proposals produce the correct revenue.

Q. Please comment on the SRP's recommendation regarding the increases given to classes over and under the tolerance band.

A. The SRP's approach is flawed because it removes judgment from revenue allocation and produces inconsistent results. The SRP's proposed increases, especially for KEDLI, are inconsistent, because classes with similar returns at present rates (for the Rate Year) receive very different increases. In addition, the SRP's approach treats classes *just within* the tolerance band differently from classes *just over* and treats classes *just over* the tolerance band the same as classes *significantly over*. Finally, because the SRP's approach is based on historic year data, it necessarily ignores a key measure of revenue allocation-whether it results in classes making progress toward unity. For these reasons,

the Commission should reject the SRP's formulaic approach over the Companies' more balanced approach.

Q. Did any of the SRP's other recommendation affect revenue allocation?

A. Yes. The SRP proposed (at 48-49) that the rates for the non-firm demand response service classes reflect total bills that are lower than the applicable firm service classes by 30 percent (Tier 1) and 40 percent (Tier 2).

Q. Do the Companies agree with this recommendation?

A. No. The SRP's proposal to compare total bills for the non-firm service class and the applicable firm service classes would affect the non-firm sales customers (for whom distribution rates are only a portion of the total bill) much differently from TC/IT transportation customers (for whom distribution rates are the entire bill) and would produce significantly different results between non-firm sales and non-firm transportation customers. The Companies believe their proposed rate design provides for attractive price signals for non-firm demand response service.

Q. Please summarize UIU's comments regarding revenue allocation.

A. UIU recommends (at 35) that revenue allocation be evaluated using both the Companies' ECOS studies (which use Rate Year data and a customer-demand

classification for mains, Exhibits ___ (RDP-3AR) and (RDP-3BR)), and the ECOS studies submitted as Exhibit ___ (RDP-12) to the Companies' initial April filings (which use Rate Year data and classify mains as 100 percent demand-related) as required by the Joint Proposal in the Companies' previous rate case, Cases 16-G-0058 and 16-G-0059. UIU further recommends (at 36) that if the two ECOS studies show significantly different results for a class, the class should receive an average increase. UIU also proposes (at 37) that the Commission placed boundaries around the base delivery rate percentage change that a class may receive.

Q Please comment on UIU's recommendation to use two ECOS studies to evaluate revenue allocation proposals.

A. The Panel believes that mains should be classified as both customer-related and demand-related for reasons described in the Panel's direct testimony and supported by other parties including Staff and NYCRDP. UIU does not offer any support for a 100 percent demand classification of mains, and thus no reason for the Commission to consider the ECOS studies under Exhibit ___ (RDP-12) in its evaluation of revenue allocation. The Panel therefore recommends the Commission rely on the Companies' ECOS studies presented in Exhibits ___ (RDP-3AR) and (RDP-3BR).

Q Please comment on UIU's recommendation that the Commission place boundaries around the relative percentage change a class may receive.

A. The Panel agrees that gradualism is an important goal of revenue allocation and rate design, and explicitly reflected that in its proposals. The Panel does not believe, however, that any purpose would be served by hard and fast rules. For example, if the overall increase is five percent, it may be reasonable for a class to receive an increase of twice the average, or ten percent. But if the overall increase if 20 percent, it may create hardship for a class to receive an increase of 1.5 times the average, or 30 percent. The Panel supports the use of boundaries that are developed in response to the specifics of each rate filing, as reflected in the proposals it has offered in these rate cases.

Q. Please summarize NYCRDPs testimony regarding revenue allocation.

A. NYCRDP notes (at 12) that the Companies' proposed revenue allocations are reasonable overall, except with respect to KEDLI's non-firm class, which the NYCRDP believes should receive a decrease. NYCRDP also stated that under no circumstances should either the KEDNY or KEDLI non-firm service classes receive an increase.

Q Please comment on the NYCRDPs testimony.

A. The Companies note that the revenue allocation proposals for KEDNY and KEDLI non-firm delivery rates as presented in Exhibits ___ (RDP-4AR) and (RDP-4BR) are consistent with the NYCRDP's recommendations regarding the non-firm service classifications.

V. Rate Design

Q. Please briefly describe the Companies' rate design presented in Exhibits ___ (RDP-4AR) and (RDP-4BR), Schedule 3.

A. For both KEDNY and KEDLI, the proposed rate design includes volumetric rates that, together with the minimum charges, are designed to produce the revenue target for each class. For the classes served by KEDNY and KEDLI with blocked rates, the rates reduce the slope (*i.e.*, the ratio of mid-block rate to tail-block) compared to the present rate design. A lower slope supports conservation by making the tail-block rate higher. The Companies also submitted an inclining block study (Exhibit ___ (RDP-11)), which analyzed the bill impact of four rate design scenarios including an inclining block structure where the tail-block rate would be higher than the mid-block rate. The study showed that a significant reduction in slope would cause either regressive bill impacts (lower usage customers would see higher increases than higher usage customers) or a huge burden on higher usage customers.

Neither of these results is acceptable from a ratemaking perspective. Therefore, the rate designs proposed by Panel in rebuttal include modest reductions in slope and tail block rates lower than mid-block rates.

Q. Did Staff or any of the intervenors comment on the proposed rate design?

A. Yes. The Companies' proposed rate design was discussed in the testimonies of the SRP, NYCRDP, and UIU.

Q. Please summarize the SRP's comments on the Companies' firm rate design.

A. The SRP agreed (at 41-42) with the Companies' goal to gradually reduce the slope of current declining block rates. The SRP, however, disagreed with some of the specific rate design proposals based on their proposed revenue requirements, which were significantly lower than the Companies' proposed revenue requirements. The SRP noted (at 42) that the rate design could be modified to reduce the slope more aggressively, but that a higher revenue requirement would require more gradual reductions in the slope.

For KEDNY, the SRP recommended (at 42) no increase to the minimum charge for all classes except SC 21-1 and 21-3. For SC 1A, 1B, 2-1, 2-2, 3, and 4B, the SRP proposed that tail block and mid-block rates should be

increased to reflect a 20 percent movement towards flat block rates. For SC 4 and 4A, the SRP recommended (at 43) eliminating the blocked volumetric rates. For SC 21-1 and 21-3, SRP recommended equal increases to the minimum charge, winter block rate, and summer block rate. If the approved revenue requirement is greater than the SRP's proposed revenue requirement, the SRP recommended reducing the movement towards flat rates and increasing minimum charges to mitigate bill impacts, and for SC 1B-DG and 7, that both the minimum charge and the block rate be increased.

For KEDLI, the SRP recommended (at 43-44) no increases to the minimum charge for all classes except 17-1 and 17-2. For SC 1A, 1B, 2A, 2B, 3, and 16, the SRP recommended changing the tail block and mid-block rates to reflect a 20 percent movement towards flat rates. For SC 1DG, 9, and 15, the SRP recommended that KEDLI apply its proposed decrease to the single block rate. For SC 17-1 and 17-2, the SRP recommended equal increases to the minimum charge and the single block for each season. If the approved revenue requirement is greater than the SRP's proposed revenue requirement, the SRP proposed the same considerations as it did for KEDNY, except if the revenue requirement becomes positive, increase to SC 1DG, 9, and 15 should be allocated to both the block rate and the minimum charge.

Q. Please comment on the SRP's recommendation regarding firm rate design.

A. The Panel's proposed rate design included in this rebuttal filing is consistent with the SRP's recommendations. The Companies' proposed rate design for customers with blocked rates reflect a reduction in slope (*i.e.,* making the mid-block and tail block rates closer) that is considered reasonable, consistent with mitigating intra-class shifts.

Q. Please summarize the SRP's comments on the Companies' non-firm rate design.

A. The SRP argued (at 48-49) that the Companies' proposed rates for non-firm delivery service did not adequately incentivize customers to choose non-firm service. Additionally, the SRP believes that setting the volumetric rate for Tier 2 service (interruptible at 20 degrees F) five percent lower than the Tier 1 rate (interruptible at 15 degrees F) does not adequately reflect the difference in the levels of service. The SRP recommended (at 49) that the rates for Tier 1 and Tier 2 be set to produce total bill impacts that are 30 percent and 40 percent below the comparable firm service total bills, respectively.

Q. The SRP believes that setting the volumetric rate for Tier 2 service (interruptible at 20 degrees F) five percent lower than the rate for Tier 1 service (interruptible at 15 degrees F) does not adequately reflect the difference in the levels of service. Are the Companies in agreement?

A. No. The Companies believe that a five percent difference between Tier 1 and Tier 2 sufficiently reflects the varying levels of service, coupled with the lower volumetric rates.

Q. Please discuss the SRP's recommendation that the non-firm demand response service classification be priced to produce total bills for non-firm service that are 30 to 40 percent below the total bills for comparable firm service customers.

A. As discussed above, the SRP's proposal would affect non-firm sales customers (distribution rates are only a portion of the total bill) much differently than TC/IT transportation customers (for whom distribution rates are the entire bill) and would produce results that depart significantly from cost. Therefore, the Companies have compared the volumetric rates for TC/IT distribution service to the rates for comparable firm distribution service.

Q. What rates are the Companies proposing for non-firm service in this rebuttal filing, and how do those proposed rates compare to the current non-firm rates and to the comparable firm service rates?

A. Please see the tables below.

KEDNY Non-Firm Demand Response

	Current Non-Firm Minimum Charge	Proposed Non-Firm Minimum Charge	Proposed Firm Minimum Charge	Current Non-Firm Delivery Rate	Proposed Non-Firm Delivery Rate*	Proposed Firm Delivery Rate
Small Comm & Govt	$ 300.00	$ 375.00	$ 41.50	$ 0.3837	$ 0.3171 $ 0.3012	$ 0.4641
Large Comm & Govt	$ 375.00	$ 375.00	$ 41.50	$ 0.3837	$ 0.3171 $ 0.3012	$ 0.4641
Small M/F	$ 300.00	$ 375.00	$ 45.00	$ 0.3238	$ 0.3171 $ 0.3012	$ 0.3875
Large M/F	$ 375.00	$ 375.00	$ 45.00	$ 0.3238	$ 0.3171 $ 0.3012	$ 0.3875

*Tier 1 (former TC Auto) Delivery Rate = $0.3171
*Tier 2 (former TC Semi-Auto) Delivery Rate = $0.3012

KEDLI Non-Firm Demand Response

	Current Non-Firm Minimum Charge	Proposed Non-Firm Minimum Charge	Proposed Firm Minimum Charge	Current Non-Firm Delivery Rate	Proposed Non-Firm Delivery Rate	Proposed Firm Delivery Rate
Tier 1 (former TC)	$ 375.00	$ 450.00	$ 40.00	$ 0.2914	$ 0.2860	$ 0.3144

Tier 2 (former IT)	$ 375.00	$ 450.00	$ 40.00	$ 0.2914	$ 0.2717	$ 0.3144

Q. Please summarize the comments of UIU regarding rate design.

A. For both SC 1A (residential non-heating) and SC 1B (residential heating), UIU supports the Companies' goals of moving away from the current declining block rate design toward flat rates, to encourage energy efficiency. UIU also recommended (at 42) that the Companies make this change gradually in consideration of the effects that dramatic changes would have on higher usage customers.

Q. Please comment.

A. The Companies agree with UIU regarding moving away from declining block rates, and the rates proposed in this rebuttal filing reflect that goal to the extent achievable.

VI. Bill Impacts

Q. Please describe any updates to the bill impacts shown on Exhibit ___ (RDP-4AR) for KEDNY and Exhibit ___ (RDP-4BR) for KEDLI.

A. As recommended by UIU (at 44), the Companies updated the bill impacts usage level for residential bill impacts to show up to 50,000 therms. In

addition, the Companies also updated the average annual usage for all service classes to reflect the no-NESE sales forecast.

VII. Merchant Function Charge

Q. Did the SRP agree generally with the Companies' MFC proposals?

A. Yes. Specifically, the SRP agreed to changing the reconciliation period to match the GAC year to align with the Companies' annual cost of gas reconciliation. The SRP recommended (at 34) that (i) the MFC be updated based on the overall revenue requirements approved by the Commission, (ii) the MFC targets updated for the uncollectible rates and pre-tax WACC set by the Commission, and (iii) the cost of gas be updated to reflect a no-NESE assumption. The updated MFC targets are shown on Exhibit ___ (RDP-6AR) for KEDNY and Exhibit ___ (RDP-6BR) for KEDLI.

Q. Does the Panel agree with the SRP regarding the use of a historic ECOSS rather than a pro-forma ECOSS for MFC targets?

A. No. As discussed above, the Companies believe a pro-forma ECOSS is more appropriate because it is forward-looking and, therefore, the best estimate available of the revenue, expenses, and rate base in the Rate Year. Thus, the MFC targets should also be based on a pro-forma ECOSS.

VIII. Non-Firm SCs

Q. What costs are currently included in the gas costs for TC and IT sales service?

A. For IT sales service, the cost of gas includes the WACOG adjusted for LAUF, a merchant function charge, and a Tax Reform Surcredit. For TC sales service, the cost of gas includes the same components, which are all volumetric based on usage, plus an average fixed cost of gas demand charge.

Q. Do the Companies propose to change the calculation of gas costs for the new non-firm demand response sales service class?

A. Yes. The Companies propose to use the current TC cost of gas formula for all customers in the new non-firm demand response classes, so that all non-firm customers will pay the demand charge. The Companies develop demand charges at the beginning of each GAC year based on a cost of service study that allocates capacity costs to each service classification depending on that class's usage during the annual period, the winter period, and the peak day. The demand charge is the one component that is currently not in the IT cost of gas calculation.

Q. Do the Companies agree with the SRP's recommendation (at 50) to use ICOG instead of WACOG in the gas cost calculation for non-firm customers?

A. No. The Companies do not agree with this recommendation. KEDNY and KEDLI's combined portfolios include having gas available for TC and IT sales customers down to 15 degrees Fahrenheit. The Companies manage the KEDNY and KEDLI supply portfolios on a combined basis per Case 05-G-0903 to maximize supply and demand synergies. Therefore, it would be inequitable for any sales customers to pay only a portion of the supply portfolio costs. TC and IT gas costs have been calculated using the WACOG since January 1, 2017. The SRP states that the Companies have not created adequate incentives to prevent non-firm customer from migrating to firm service. However, this recommendation would increase gas costs to non-firm sales customers because the ICOG is almost always higher than the WACOG. In addition, the SRP's argument that firm customers are subsidizing non-firm is not correct, because the times when the ICOG is likely to be set (*e.g.*, the coldest days) are the times when non-firm customers can expect to be interrupted. When this happens, non-firm customers have no cost responsibility for setting the ICOG. The main result of using ICOG instead of WACOG would be to charge non-firm customers the costs they are trying to avoid, reducing their incentive to take non-firm service.

Q. Did the Companies propose any changes to the non-firm service classifications in this case that were not addressed by Staff? If so, what was the proposal?

A. Yes. In the Companies' initial April 30 filing, the Companies proposed to include non-firm gas costs in the annual gas cost reconciliation. Although the SRP did not address this proposal in testimony, the Companies continue to support the proposal to have the non-firm customers included in the annual reconciliation. The Companies believe that by charging the non-firm customers the WACOG instead of the ICOG and by sharing in the annual over/under recoveries that currently only apply to firm sales customers, any subsidies between the firm and non-firm classes would be eliminated.

Q. NYCRDP requests (at 19) that the Companies modify their proposed new non-firm tariffs to specifically state the interruption temperatures as 15 degrees for Tier 1 and 20 degrees for Tier 2. Do the Companies agree?

A. No. The Companies believe that the designated interruption and resumption temperatures as described in their respective tariffs is sufficient. For the Tier 1 and Tier 2 customers, an annual review of the designated interruption temperature will be performed to ensure adequate capacity is available for the interruption temperature for each tier. Once the capacity limit is reached for a

tier, either the tier will be closed off to new customers or the interruption temperature for the tier will be increase. Based on this review, the Companies do not agree that the tariffs should indicate specific interruption temperatures. The Companies conduct extensive outreach prior to each winter regarding the designated temperatures (*e.g.,* Annual Winter is Coming Letter).

Q. NYCRDP state (at 15) that the proposed new non-firm tariffs should allow customers with automatic equipment to elect to take service under Tier 2. Do the Companies agree?

A. As stated in IR CNY-54, the Companies are not opposed to customers with automatic equipment electing Tier 2 in the proposed new non-firm tariffs. The Companies will clarify this option and file further tariff revisions. Customers that opt for Tier 2 rates are not guaranteed to be able to switch back to Tier 1 at a future date.

Q. Are there any other recommendations made by NYCRDP regarding selection of Tier 1 or Tier 2 in the proposed non-firm service classifications?

A. Yes. NYCRDP recommends (at 15) that customers be given 120 days from Commission approval of the new tariffs to make the election to switch from Tier 1 to Tier 2, and to a customer to switch back from Tier 2 to Tier 1 no

later than 120 days prior to the winter heating season. In addition, NYCRDP recommends that within 30 days of the Commission's approval of the new tariff, the Companies provide written notice of this option to all customers that would otherwise default into the Tier 1 rate.

Q. Do the Companies agree?

A. Yes, to an extent. The new non-firm demand response proposals are on parallel tracks: in the instant rate filing and in Cases 16-G-0058 and 16-G-0059. The Commission also initiated new proceedings under Cases 19-G-0370 and 19-G-0371 for consideration of the proposed non-firm tariff filings. In Cases 19-G-0370 and 19-G-0371, the tariffs are proposed to take effect on November 1, 2019. The Companies will automatically default customers into the two new tiers based on their switching equipment. The rates, at this time, will be at current rates which will be the same and therefore should not affect customers. In this rate case, tariffs should become effective on April 1, 2020. At that time, the Companies would allow for 120 days for customers with automatic switching equipment to elect which tier they want to be on for the winter season 2020/2021. Customers with semi- or manual equipment will have no option but Tier 2. The Companies agree to provide customers with automatic switching equipment written notice of this option within 30 days of Commission's approval.

Q. NYCRDP requests that the Companies modify their non-firm tariffs so that on-site alternative fuel is not an absolute prerequisite for eligibility. Do the Companies agree?

A. No. No such modifications are necessary. Both KEDNY and KEDLI's current and proposed non-firm tariffs already allow customers to stipulate in writing that the customer is willing and able to shut down during periods of interruption because they do not have alternate fuel.

Q. NYCRDP requests that to the extent that they are not addressed in Cases 16-G-0058 and 16-G-0059, the Commission should adopt the positions advocated by the City of New York in its Comments filed in those dockets. Do the Companies agree?

A. No. The Companies filed their reply comments to the City of New York's comments on August 29, 2019. The reply comments are attached hereto as Exhibit ___ (RDP-20R). As stated therein, the Companies disagree with many of the City's proposals.

Q. NYCRDP states that monetary penalty for so-called "second strike" violations should be reduced or waived if the second interruption notice is issued within five days of the end of a prior event and the customer can

demonstrate that it could not repair the equipment that prevented it from interrupting. In addition, under these limited circumstances, NYCRDP states the violation should not count as a second "strike." Do the Companies agree?

A. No. The Companies' tariffs already provide for ample time (up to seven days) to remediate any equipment failure. The language below is contained under the "Customer Failure" section of the Companies' respective non-firm tariffs:

> Customer Failure:
> There is an amnesty clause available to Customers that experience an equipment failure. Should a Customer fail to switch to its alternate fuel when it is notified to do so because of equipment failure, the Customer must notify the Company within one hour of the failure, and provide proof within two days that the equipment has been repaired and is operable. If a Customer can demonstrate that it was unable to obtain and install the necessary equipment within two days, the Customer will have five more days to remedy the situation. The Customer will provide proof that it has installed the necessary equipment and that it is operable. If a Customer meets these criteria, amnesty for the violation will apply. If the Customer cannot obtain and/or install the necessary equipment within seven days, the equipment failure will be considered a violation. Only one grant of amnesty for an equipment violation will be allowed per winter season. Such grant of amnesty does not exempt the Customer from having to pay any applicable charges, including Unauthorized Use Charges or non-compliance Charges.

Q. NYCRDP states that under certain circumstances, monetary penalties otherwise applicable to the New York City Housing Authority for using gas to operate on-site generation facilities to provide electricity to human

needs customers during electric emergencies should be waived. Do the Companies agree?

A. No. The Companies rely on non-firm demand response customers coming off natural gas when directed to do so for system reliability. The Commission has recognized the importance of compliance with the interruption requirements, noting that "in order to ensure the reliability of the distribution networks, National Grid must have confidence that IT and TC customers will not use natural gas under certain conditions" (Case 16-G-0058 and 16-G-0059, Order Approving Tariff Revisions and Directing Further Tariff Filings (issued and effective February 7, 2019) at 3). Any waivers related to gas usage during an interruption would hinder the Companies' ability to manage peaks, and the non-firm demand response service classifications are a large part of the Companies' suite of non-pipeline alternatives needed to provide safe and reliable service for all customers. The existing rules are intended to provide clear guidelines to avoids confusion in terms of when the rule applies and when it does not apply. Furthermore, the NYCRDP's recommendation is contradictory to the Companies' obligation to treat similarly situated customers in a similar manner.

IX. Gas Rates for Electric Generation

Q. LIPA raised a number of issues regarding KEDLI's electric generator rates including the Minimum Bill Obligation ("MBO") and the Value-Added Charge ("VAC"). Does the Panel have any comment?

A. Yes. As explained in the Companies' response to IR LIPA-1, the Companies are awaiting guidance regarding the appropriate charges for electric generators in Case 17-G-0011 – *In the Matter of Review of Tariff Provisions Regarding Natural Gas Service to Electric Generators*, which was initiated by the Commission to review the required tariff provisions and rate structure for non-core gas transportation service to electric generators. Until an order is issued in that proceeding, the Companies do not believe any changes should be made.

X. LAUF Gas

Q. Please generally describe the Companies proposals related to LAUF.

A. The Companies proposed four changes: (i) update the fixed LAUF targets and associated dead-bands; (ii) have the new LAUF targets become effective beginning the new GAC cycle, or September 1, 2020; (iii) remove the inactive accounts adjustment; and (iv) modify the calculation to gross up gas costs for LAUF gas.

Q. Please summarize the SRP's comments regarding LAUF.

A. The SRP agreed with KEDNY's proposed LAUF target and the proposed changes to the LAUF effective date and the modifications to the calculation to gross up gas costs, but disagreed with KEDLI's proposed LAUF target, the calculation of KEDNY and KEDLI deadbands, and the removal of the inactive account adjustment from the LAUF calculation. The Staff Pipeline Safety Panel stated that volumes for inactive accounts should not be considered LAUF gas and suggested that the Companies adjust the LAUF calculation so that customers do not pay for these volumes.

Q. Do the Companies agree with the SRP's proposed changes to the establishment of LAUF targets and deadbands?

A. The Companies agree with the SRP's revised calculation of the KEDNY and KEDLI deadbands, which align with the Staff White Paper recommendations as explained in the SRP's testimony. However, the Companies do not agree with the SRP's proposal (at 58) to revise the KEDLI LAUF target to remove 2014 actual LAUF from the calculation. The SRP believes that this amount is an outlier, but the Staff White Paper recognizes that actual LAUF can vary from year to year and for that reason a five-year average is recommended for the establishment of each Company's LAUF target. In fact, the actual LAUF in 2015 was the lowest LAUF percentage in the five-year average, indicating that there are likely timing issues between years that are somewhat normalized

when looking at a five-year average. For that reason, the Companies disagree with the SRP's recommendation to remove one year from the five-year average and that the Staff White Paper recommendation should be used to develop the LAUF targets for both KEDNY and KEDLI.

Q. Do the Companies agree with the SRP's proposed changes to the inactive account adjustment?

A. The Companies agree with removing the volumetric inactive account adjustment in the LAUF calculations prospectively as explained in the Panel's pre-filed direct testimony, but do not agree with the removal of the inactive account adjustment included in the actual LAUF calculation for 2017/18 for purposes of setting the LAUF targets in these proceedings or the inclusion of a financial penalty related to inactive accounts.

Q. Please explain why the Companies do not agree with the SRP's proposed retroactive changes to 2017/18 LAUF calculation to remove the inactive account adjustment.

A. The Companies calculated the 2017/18 actual LAUF in accordance with the Joint Proposal in Case 16-G-0058 and 16-G-0059 and for that reason, the filed and approved LAUF calculations for the last five years should be used in setting the LAUF target in this case.

In addition, when the SRP proposed removing the actual inactive account adjustment made by KEDNY in the annual reconciliation filing for 2017/18, the Panel believes there was an error in the SRP's exhibit. It appears that the SRP removed the NYFS adjustment instead of the inactive account adjustment as explained in the SRP's testimony. The formula supporting the calculation of twelve months ended August 2018 LAUF shown on page 3 of Exhibit ___ (SRP-9) still includes the inactive account adjustment but removes the NY Facilities Gas Transfer LAUF. If Staff is intending to show an adjusted LAUF target excluding the inactive accounts adjustment, the resulting five-year average LAUF would be 2.429 percent. However, Staff's calculation indicates a five-year LAUF percentage of 2.426 percent. As shown in Exhibit ___ (RDP-19R), the Companies asked the SRP to verify that the KEDNY LAUF calculation properly reflected the intended adjustment to remove LAUF in IR NG-1, but the SRP responded that the difference between their calculation of LAUF and the Companies' calculation is the inactive accounts adjustment. The Companies do not agree with this response, but more importantly, the Companies do not agree with the removal of the inactive account adjustment because the Companies calculated LAUF in accordance with the Joint Proposal approved in Cases 16-G-0058 and 16-G-0059.

Q. Do the Companies agree with the SRP's proposal to change the inactive account adjustment from a volumetric adjustment to a financial adjustment or that inactive account volumes should be removed from the LAUF calculation?

A. No. As stated in the its direct testimonies for KEDNY and KEDLI, the Panel does not agree that any inactive account adjustments for LAUF are necessary, because inactive account usage is already increasing the Companies' losses, and to the extent that actual LAUF is above the upper deadband, the Companies incur a penalty for inactive account usage. For this reason, the Companies believe that any adjustments to actual LAUF relative to inactive accounts is duplicative. The Companies calculated LAUF targets and deadbands are included in Exhibit ___ (RDP-5AR) for KEDNY and Exhibit ___ (RDP-5BR) for KEDLI.

XI. RDM

Q. Please generally describe the Companies' proposed changes to the RDM.

A. The Companies are proposing the following changes:

- Implement a revenue per class mechanism for SC 1B customers;
- Remove incremental growth incentives in SC 2 and SC 3 RDM;
- Expand the RDM to SC 1A; and
- Change the timing of the RDM reconciliation to a FY basis.

Q. Did the SRP agree?

A. Yes, and the SRP recommended that the RDM targets be updated based on the revenue and customer counts approved by the Commission in these proceedings.

Q. Do the Companies accept the SRP's recommendation?

A. Yes.

XII. Miscellaneous Rate Design Issues

A. Gas Tariff Provisions

Q. Did Staff propose any changes to the Companies' tariff?

A. Yes, the SRP recommended (at 72) that the Companies (i) continue to streamline their tariffs, (ii) perform a study to ensure that customers are in the correct SC, and (iii) propose a draft Delivery Rate Adjustment ("DRA") statement that includes each element in the surcharge. The Staff Efficiency and Sustainability Panel ("SESP") proposed that the Companies recover non-labor O&M costs related to the Program-based demand response programs in the Companies' DRA mechanisms instead of base rates.

Q. Do the Companies agree with the SESP's recommendations?

A. The Companies agree with the recommendation to continue to streamline the tariffs and to develop a DRA statement. The Companies disagree with the proposal to perform a study to ensure that customers are in the correct service classification and the proposal to recover non-labor O&M costs for demand response programs in the DRA.

Q. Please explain why the Companies disagree with the recommendation to perform a study to verify customers are on the correct service classification?

A. The Companies make every effort to initially place customers on the correct service classification based on information provided by the customer at the point in time that service is initiated. The Companies inform customers to fully and accurately fill out their applications to assist in placing the customer on the correct rate. If circumstances change that require a change to the original service classification, the customer has a responsibility to notify the Company to reclassify the account to the appropriate service classification. In addition, a study that reviews every account in the Companies service territory would be extremely costly and time consuming and the Companies do not believe significant issues exist that would warrant such an effort. For these reasons, the Companies disagree with this proposal.

Q. Please explain why the Companies disagree with the SESP's recommendation to recover non-labor O&M costs for demand response programs in the DRA instead of base rates?

A. The Companies proposal is to recover the forecast non-labor O&M costs in base rates. If the intent of SESP's proposal is for the actual non-labor O&M costs to be included in the DRA and recovered on a lag, the Companies disagree as that adds to the cash flow issues effecting the Companies credit metrics, as discussed in the rebuttal testimony of Company Witness Jonathan Cohen. If SESP is proposing the Companies recover the forecast non-labor O&M costs through the DRA, the Companies could agree to move the recovery of these costs from base rates into the DRA. Any over or under recovery of the forecast costs would be either refunded to or recovered from customers in a subsequent period.

B. NGV

Q. Did the SRP provide any comments relative to the Companies' proposal to add an interruptibility option for NGV customers?

A. Yes. the SRP agreed with the proposal, if customers are only interrupted for peak periods during a day and the customers can change their fueling profiles for several days at a time.

Q. Please explain the Companies' proposal to add interruptibility for NGV customers.

A. The amount of interruption would be negotiable for each customer with various choices, depending on our need and their fueling patterns. The key component of this program is that the customer would decide on their interruptibility because they would save on capital costs. It would be up to the customer to decide if they have that flexibility since this is an optional program. The Companies understand that fleet operation and fueling patterns vary and some customers can do this easily and some not at all. It is purely an economic choice for the customer, but they have several options: (i) fuel storage on site, (ii) multiple smaller compressors, (iii) more fuel capacity onboard, or (iv) use of public or shared fueling.

C. Paperless Billing Credit

Q. Please generally describe the Companies' proposals to update the paperless billing credit.

A. The Companies proposed to update the paperless billing credits to reflect each Company's updated costs to produce a paper bill versus producing an electronic bill. The Companies proposed to update the rates from $0.35 to

\$0.41 per service period for KEDLI and from \$0.49 to \$0.44 per service period for KEDNY.

Q. Do the Companies accept the SRP's recommendation (at 36) to delay the update to the KEDNY paperless billing credit?

A. No. The Companies disagree that twelve months of data is needed in order to determine the costs of paperless billing for KEDNY customers. The transactional costs should not vary significantly over the twelve-month period compared to the four months of data provided in the original filing. In addition, if the Companies are required to revise the paperless bill calculations in Briefs on Exceptions, there could be disconnects between the paper bill costs included in the revenue requirement and those included in the calculation of the paperless billing credit.

D. EAM

Q. Please summarize Public Utility Law Project's ("PULP") comments regarding EAMs potential bill impacts for residential heating customers?

A. PULP stated that based on these per therm impacts, EAMs have the potential to raise monthly bills for the typical residential heating customers of each Company by another 1 – 1.25 percent on a delivery bill basis.

Q. Does the Panel have any clarification regarding EAMs residential heating bill impacts?

A. Yes. The Companies propose to allocate the earned EAM incentives beginning in 2020 and for the EAM surcharge to be included in the DRA beginning the following April 1, 2021, which falls in Rate Year 2 for bill impacts.

E. SBC

Q. What is the SRP's recommendation regarding ETIP?

A. The SRP agrees with the Companies' proposal that the ETIP be rolled into base rates and agreed that ETIP costs can be recovered from the non-firm demand response and baseload distribution generation service classes, as long as the bill impacts are reasonable. The SRP recommended that the Companies propose an equitable allocation of ETIP costs in rebuttal (at 67).

Q. Does the Panel agree with this proposal?

A. Yes. The Companies agree to begin recovering energy efficiency costs in base rates and to include baseload distribution generation and non-firm demand response customers in the calculation of both ETIP and CEF rates. As recommended by the SRP, the Companies allocated ETIP costs to both the baseload distribution and non-firm demand response customers based on sales

volumes which is consistent with the current allocation methodology for ETIP. In addition, the Companies allocated CEF costs to the baseload distribution generation and non-firm demand response customers to allow them to participate in those programs as well. The bill impacts for baseload distribution generation customers are shown in Exhibit ___ (RDP-4AR), Schedule 4 for KEDNY and Exhibit ___ (RDP-4BR), Schedule 4 for KEDLI. For non-firm demand response customers, the tables demonstrate the proposed ETIP rate relative to the proposed non-firm delivyer rate:

KEDNY	ETIP Unit Rate	Proposed Non-Firm Delivery Rate	% of Proposed Non-Firm Delivery Rate
Small Comm & Govt	$0.01100 / Therm	$0.3171	3.5%
Large Comm & Govt	$0.01100 / Therm	$0.3171	3.5%
Small M/F	$0.01100 / Therm	$0.3012	3.7%
Large M/F	$0.01100 / Therm	$0.3012	3.7%

KEDLI	ETIP Unit Rate	Proposed Non-Firm Delivery Rate	% of Proposed Firm Delivery Rate
Tier 1 (former TC)	$0.00922 / Therm	$0.2717	3.4%
Tier 2 (former IT)	$0.00922 / Therm	$0.2717	3.4%

Q. Did the Companies provide a pro-forma SBC statement to incorporate the proposed changes?

A. Yes. The Panel has included a pro-forma SBC statement, which only consists of the Clean Energy Fund ("CEF") and is included in Exhibit ___ (RDP-17AR), Schedule 1 for KEDNY and Exhibit ___ (RDP-17BR), Schedule 1 for KEDLI. The CEF rates shown on the pro-forma SBC statement were calculated to include baseload distribution and non-firm demand response customer volumes to allow those customers to also participate in NYSERDA energy efficiency programs.

Q. Did any other intervenor provide feedback relative to the Companies' proposal regarding the expansion of energy efficiency programs?

A. The NYCRDP proposed that the expansion of SBC programs to the non-firm service classifications should be deferred until adequate energy efficiency programs are available to those customers.

Q. Do the Companies agree with the NYCRDP's SBC proposal?

A. No. As provided in response to IR CNY-53, the Companies provided a list of the energy efficiency programs that non-firm customers would be able to participate in, including the following:

- upgraded efficiency in design of new construction projects;
- envelope measures in existing buildings;
- HVAC controls and operating systems in existing buildings;
- efficiency improvements of existing commercial facilities; and
- support for efficiency in expansions of existing commercial facilities.

F. DRA

Q. Does the SRP have any further recommendations regarding the Companies' tariffs?

A. Yes. The SRP recommends the Companies to propose a draft DRA statement that includes each element in the surcharge. The Panel has included a pro-

forma DRA statement, which is included in Exhibit ___ (RDP-17AR), Schedule 2 for KEDNY and Exhibit ___ (RDP-17BR), Schedule 2 for KEDLI.

G. Green Gas Tariff

Q. Does the Staff Gas Supply Panel ("SGSP") recommend any changes to the Companies' proposed Green Gas Tariff Offering?

A. Yes. In the original filing, the Companies proposed to reconcile all costs of the program through a separate reconciliation mechanism that would only apply to participants opting into the program. The SGSP does not agree with a separate reconciliation mechanism due to the lack of participation and renewable natural gas ("RNG") cost data. Therefore, the SGSP is proposing that the Companies includes any excess unsubscribed RNG costs in the existing gas cost reconciliation mechanism which would be applicable to all gas customers.

Q. Do the Companies agree with the SGSP's proposed change to the reconciliation mechanism for the Green Gas Tariff offering?

A. Yes.

Q. Does this conclude your testimony?

A. Yes, it does.

Case 19-G-0309
Case 19-G-0310

Rebuttal Testimony of the Rate Design Panel

Index of Exhibits

- Exhibit ___ (RDP-2AR) – KEDNY Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-2BR) – KEDLI Rate Year Gas Revenue Forecast
- Exhibit ___ (RDP-3AR) – KEDNY ECOSS
- Exhibit ___ (RDP-3BR) – KEDLI ECOSS
- Exhibit ___ (RDP-4AR) – KEDNY Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-4BR) – KEDLI Proposed Revenue Allocation, Rate Design, Bill Impacts
- Exhibit ___ (RDP-5AR) – KEDNY LAUF Study
- Exhibit ___ (RDP-5BR) – KEDLI LAUF Study
- Exhibit ___ (RDP-6AR) – KEDNY Proposed MFC
- Exhibit ___ (RDP-6BR) – KEDLI Proposed MFC
- Exhibit ___ (RDP-7AR) – KEDNY Proposed RDM
- Exhibit ___ (RDP-7BR) – KEDLI Proposed RDM
- Exhibit ___ (RDP-8AR) – KEDNY Consolidated Billing Charge
- Exhibit ___ (RDP-8BR) – KEDLI Consolidated Billing Charge
- Exhibit ___ (RDP-16AR) – KEDNY Supporting Workpapers
- Exhibit ___ (RDP-16BR) – KEDLI Supporting Workpapers
- Exhibit ___ (RDP-17AR) – KEDNY Pro-forma Statements

- Exhibit ___ (RDP-17BR) – KEDLI Pro-forma Statements
- Exhibit ___ (RDP-18R) – Relevant Portions of Company IR Responses
- Exhibit ___ (RDP-19R) – Staff IR Responses
- Exhibit ___ (RDP-20R) – Companies' Reply Comments to CNY's Comments in Cases 16-G-0058 and 16-G-0059